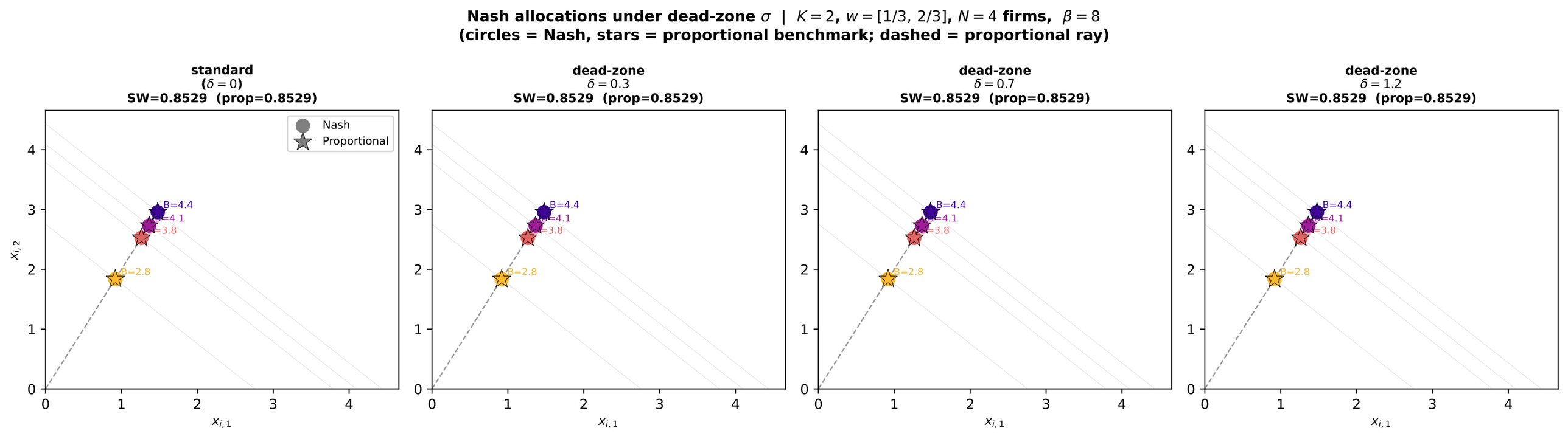
Nash allocations under dead-zone σ | K = 2, w = [1/3, 2/3], N = 4 firms, β = 8
(circles = Nash, stars = proportional benchmark; dashed = proportional ray)
standard
(δ = 0)
SW=0.8529 (prop=0.8529)
dead-zone
δ = 0.3
SW=0.8529 (prop=0.8529)
dead-zone
δ = 0.7
SW=0.8529 (prop=0.8529)
dead-zone
δ = 1.2
SW=0.8529 (prop=0.8529)
Nash
Proportional
B=4.4
B=4.1
B=3.8
B=2.8
x_{i,1}
x_{i,2}